



KCB INVESTOR PRESENTATION

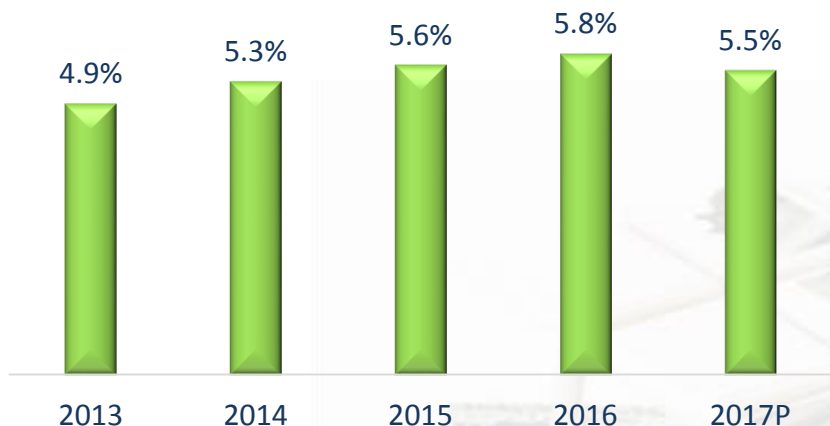
1Q17 GROUP FINANCIAL RESULTS

11 MAY 2017

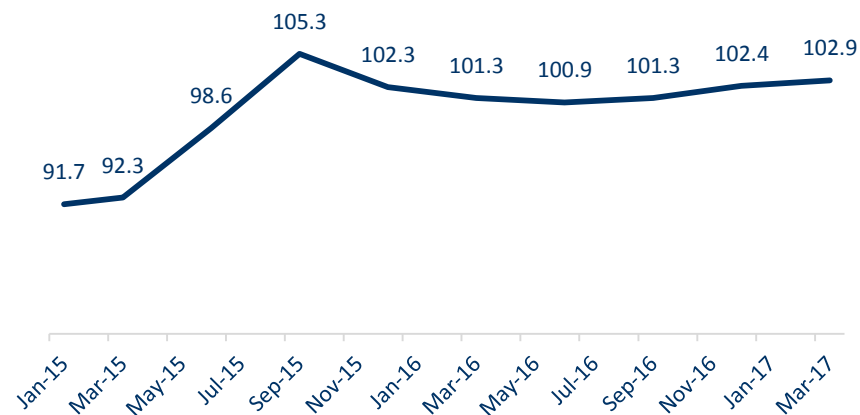
JOSHUA OIGARA GROUP CEO & MD | LAWRENCE KIMATHI GROUP CFO

Macro-Economic Highlights: Kenya

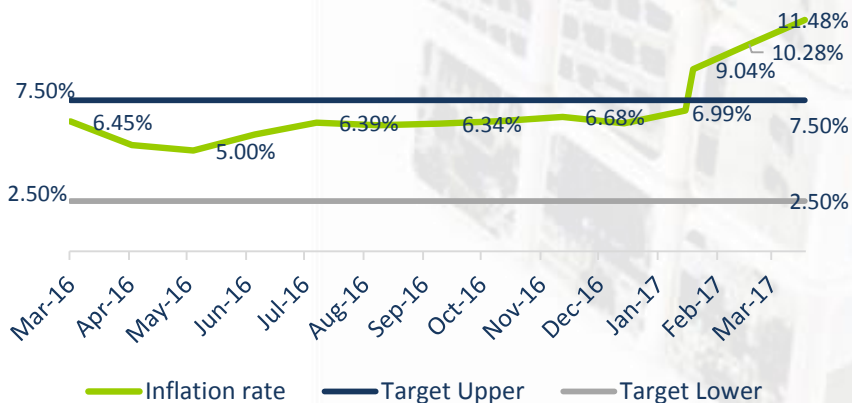
GDP Growth Rate (%)



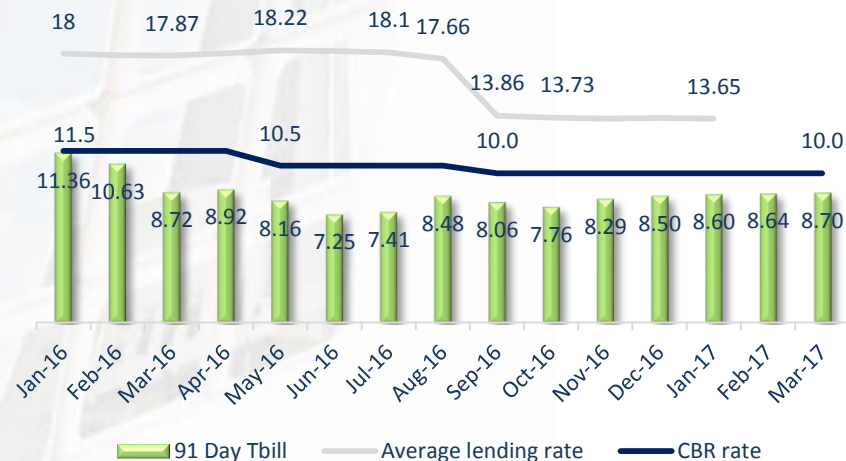
USD/KES Exchange Rate



Inflation

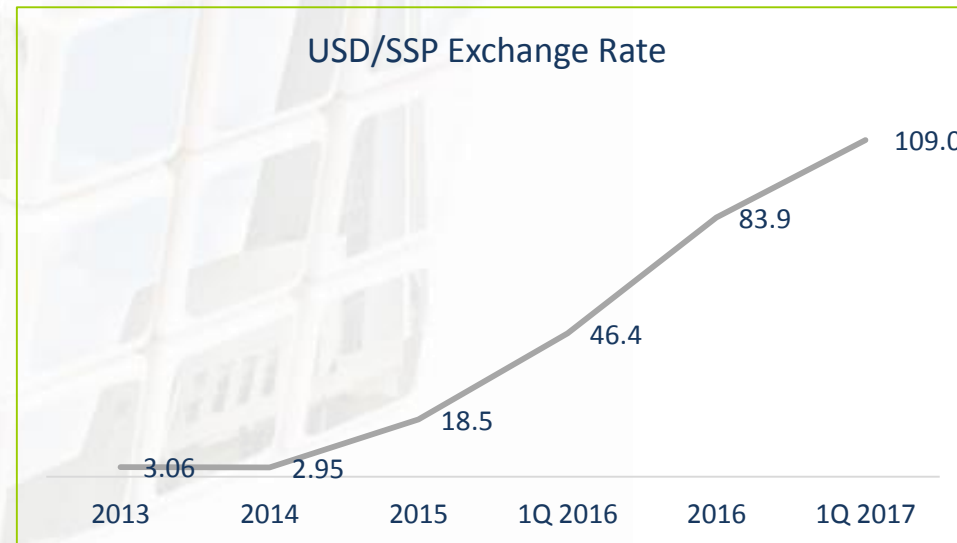
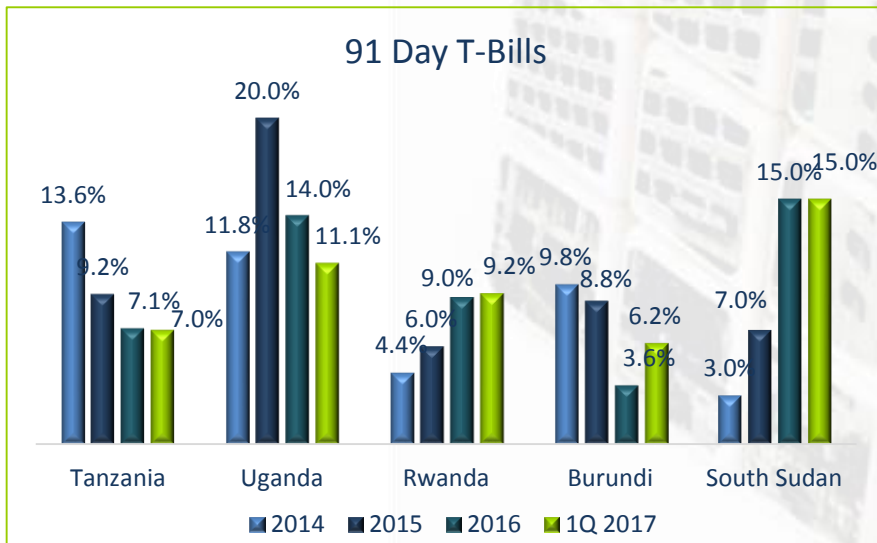
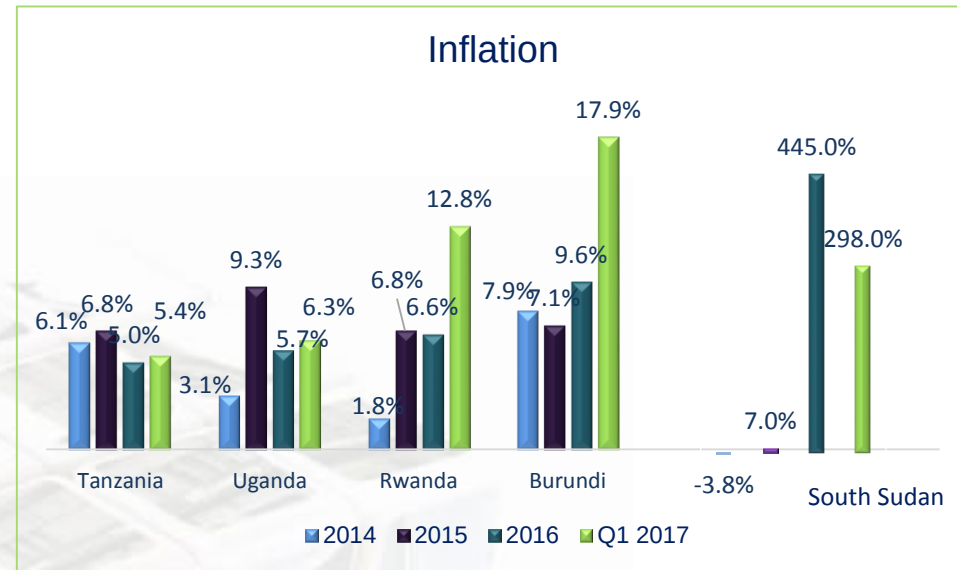
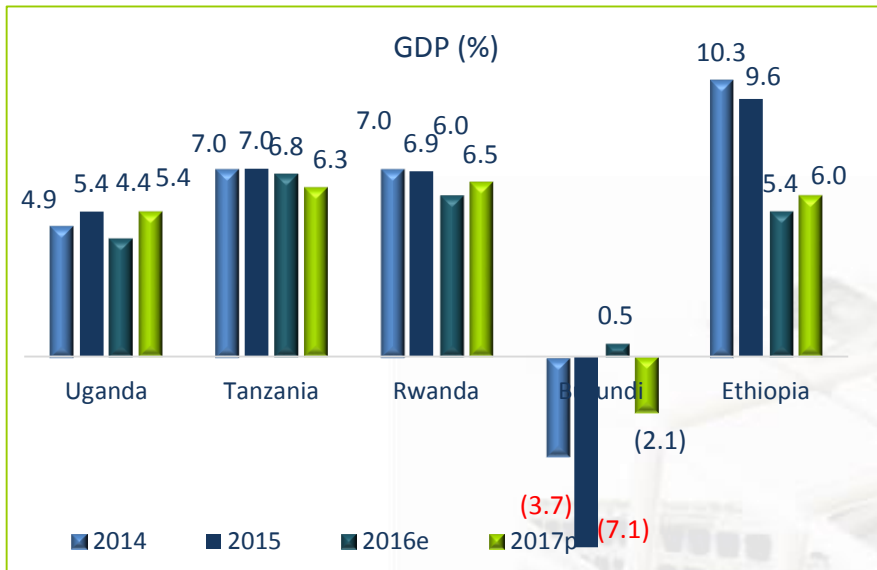


Interest Rates (%)



Sources: CBK, KNBS

Macro-Economic Highlights: Regional



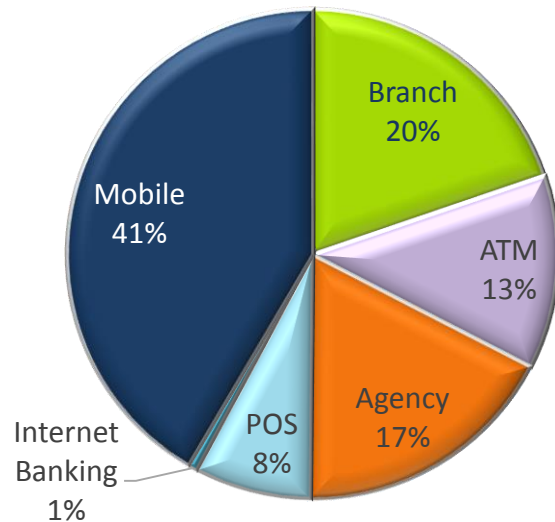
Sources: IMF, BMI

DIGITAL CHANNEL PERFORMANCE

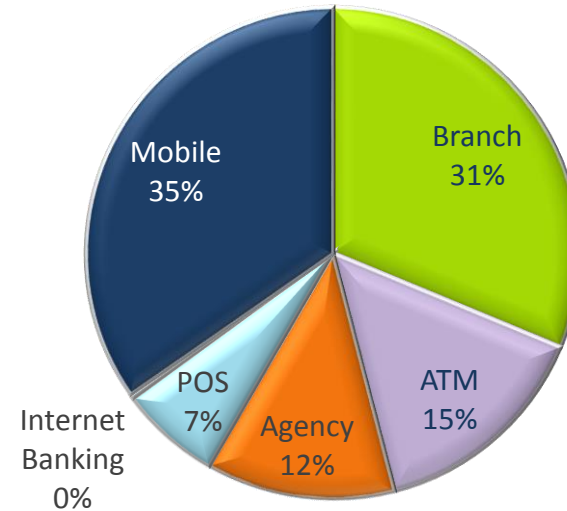


80% of Transactions outside the Branch

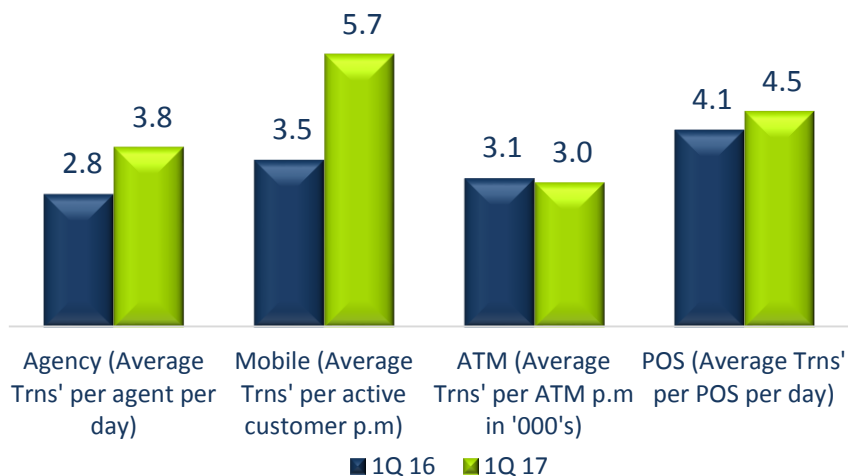
Q1 2017



Q1 2016



Channels Activity



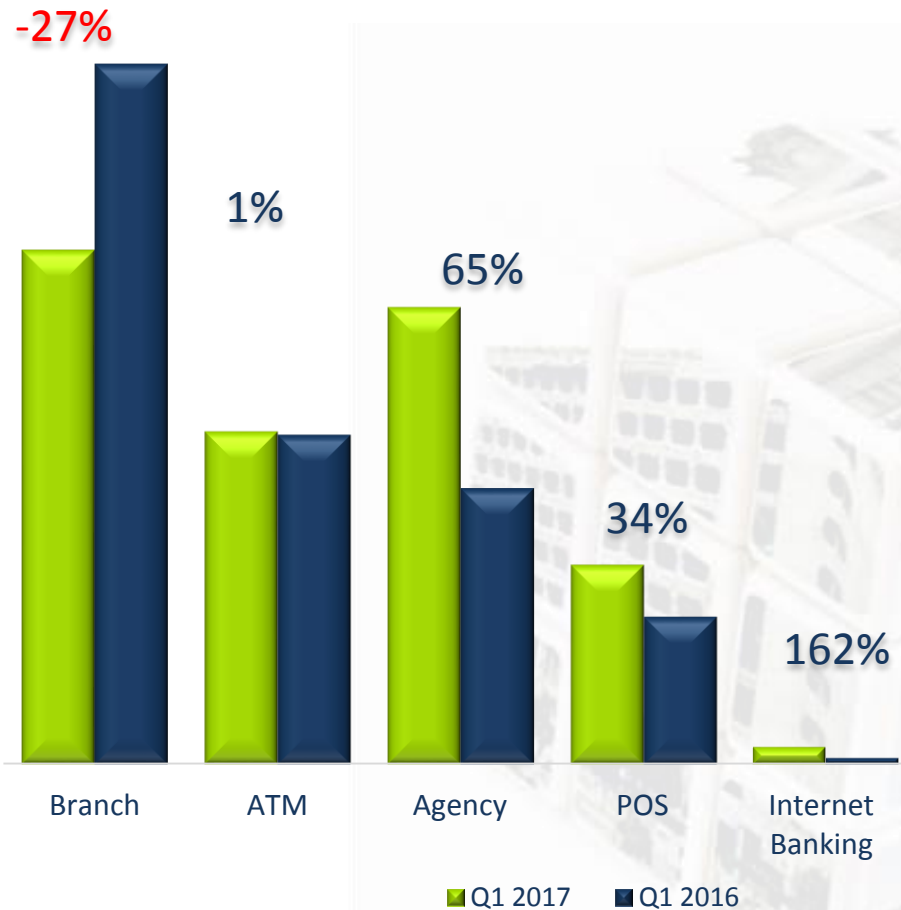
Channel Volumes KShs B



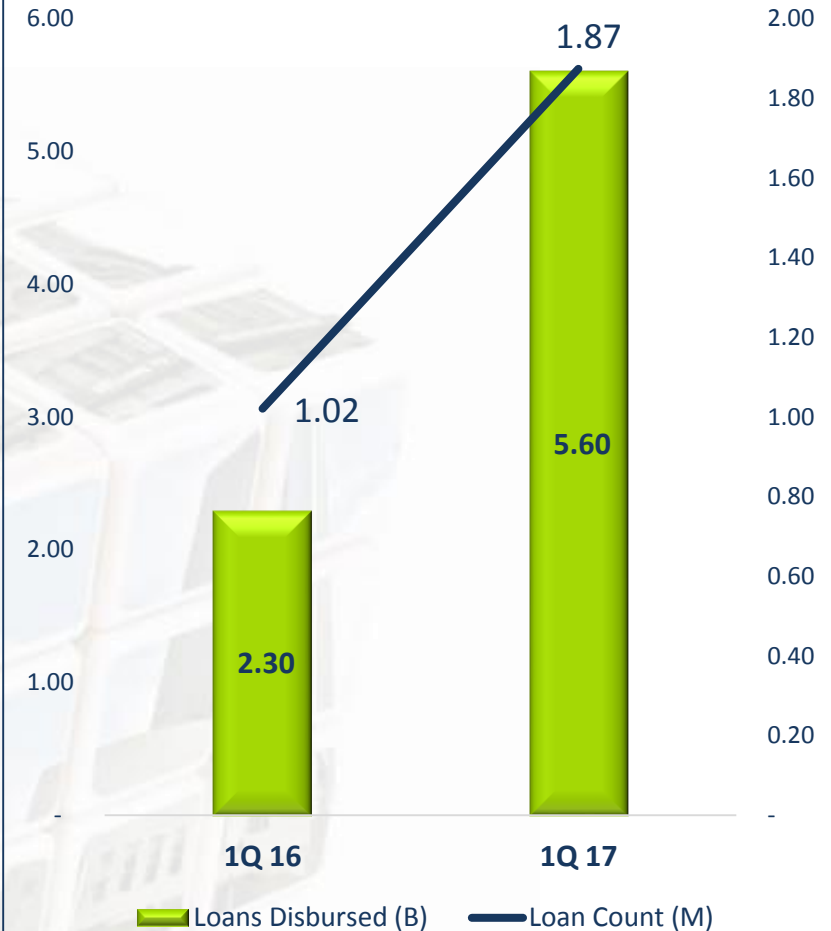
Source: KCB data

Increased Activity on Digital Channels

Growth in Channel Activity



Mobile Loan Evolution



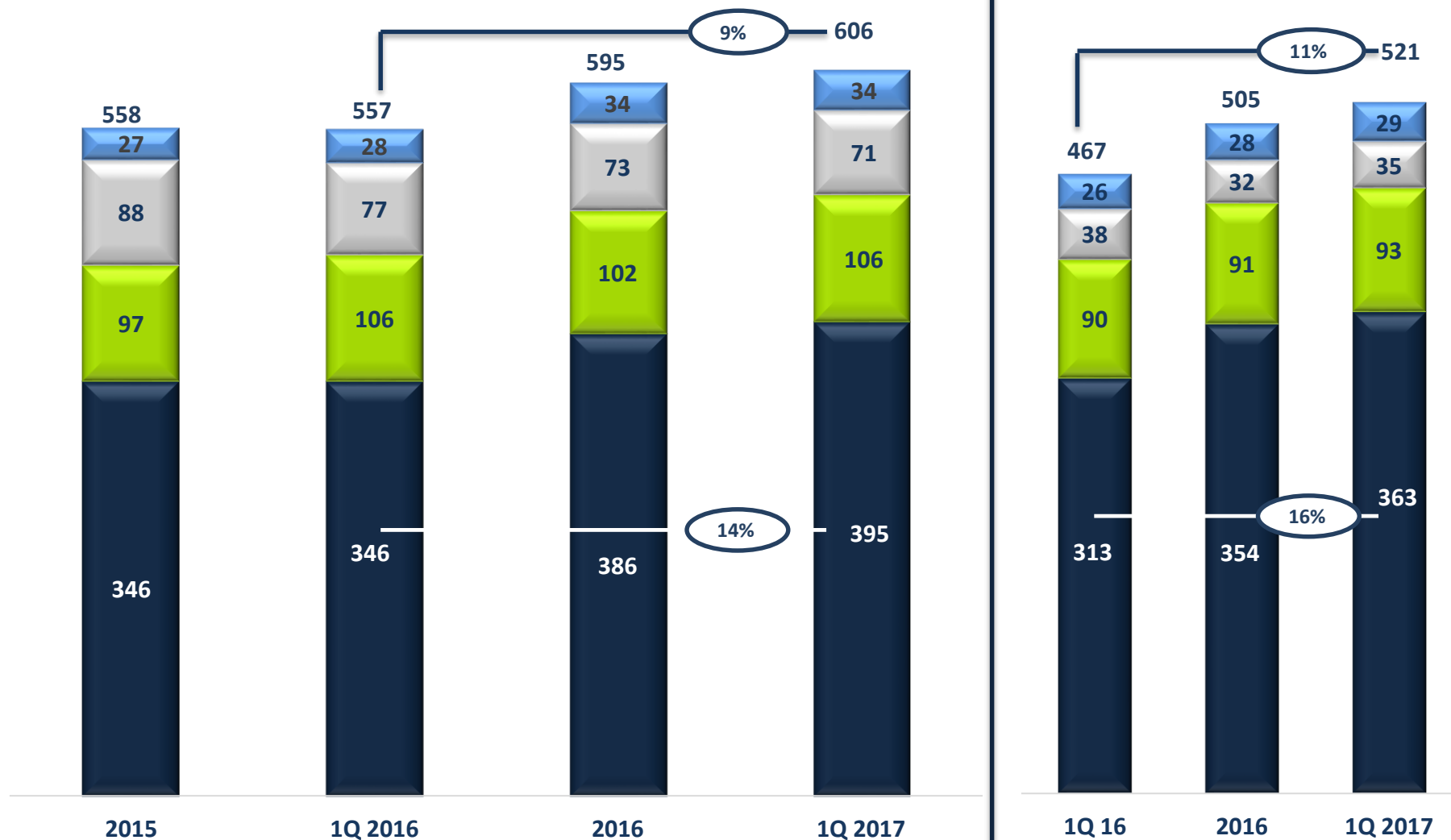
Source: KCB data



OUR PERFORMANCE TO DATE

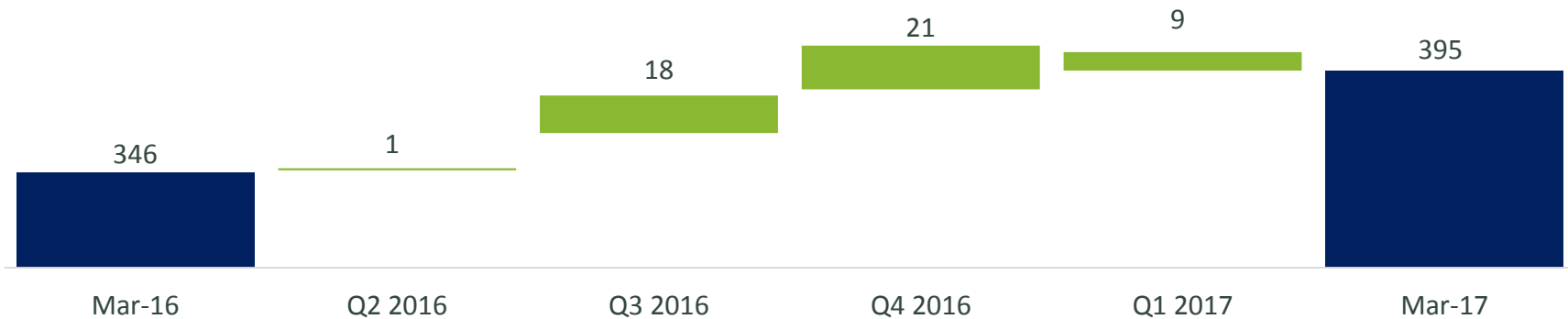
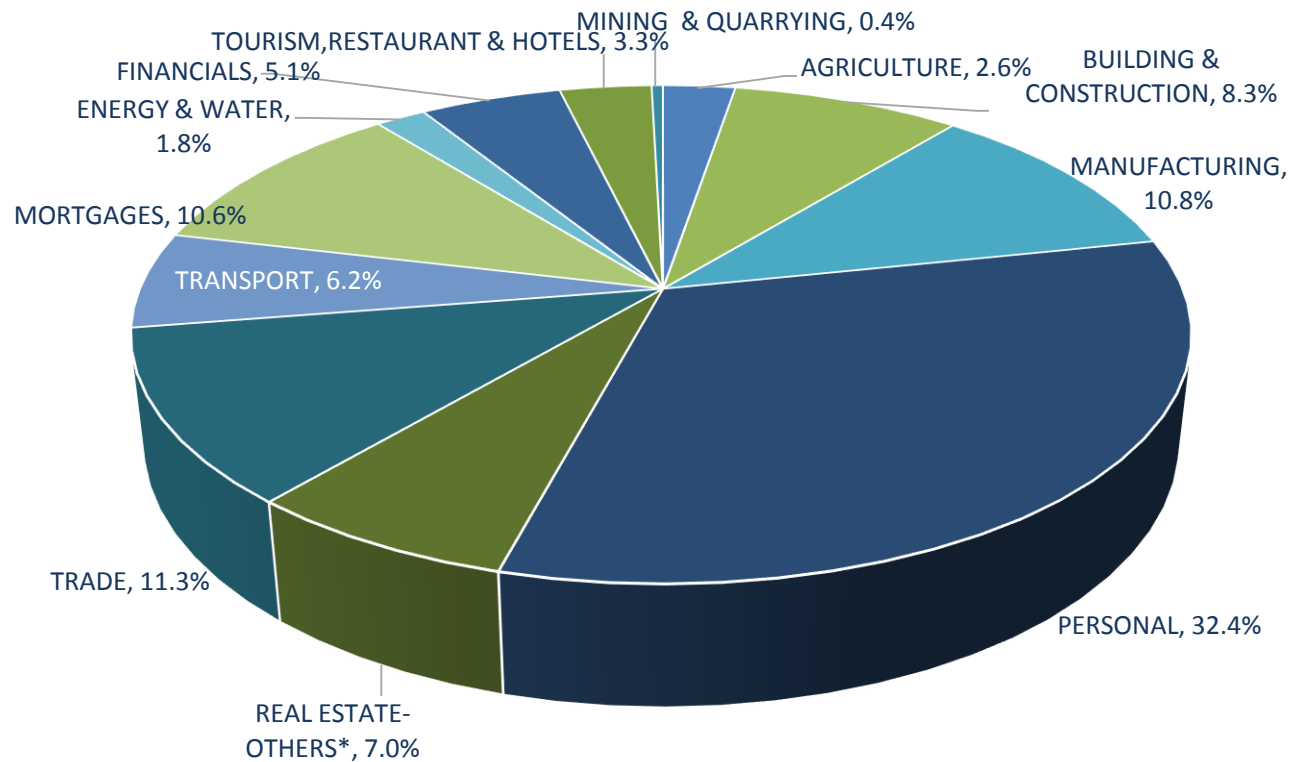
14% Growth in Loans and Advances driven by the Kenya Business

KShs B

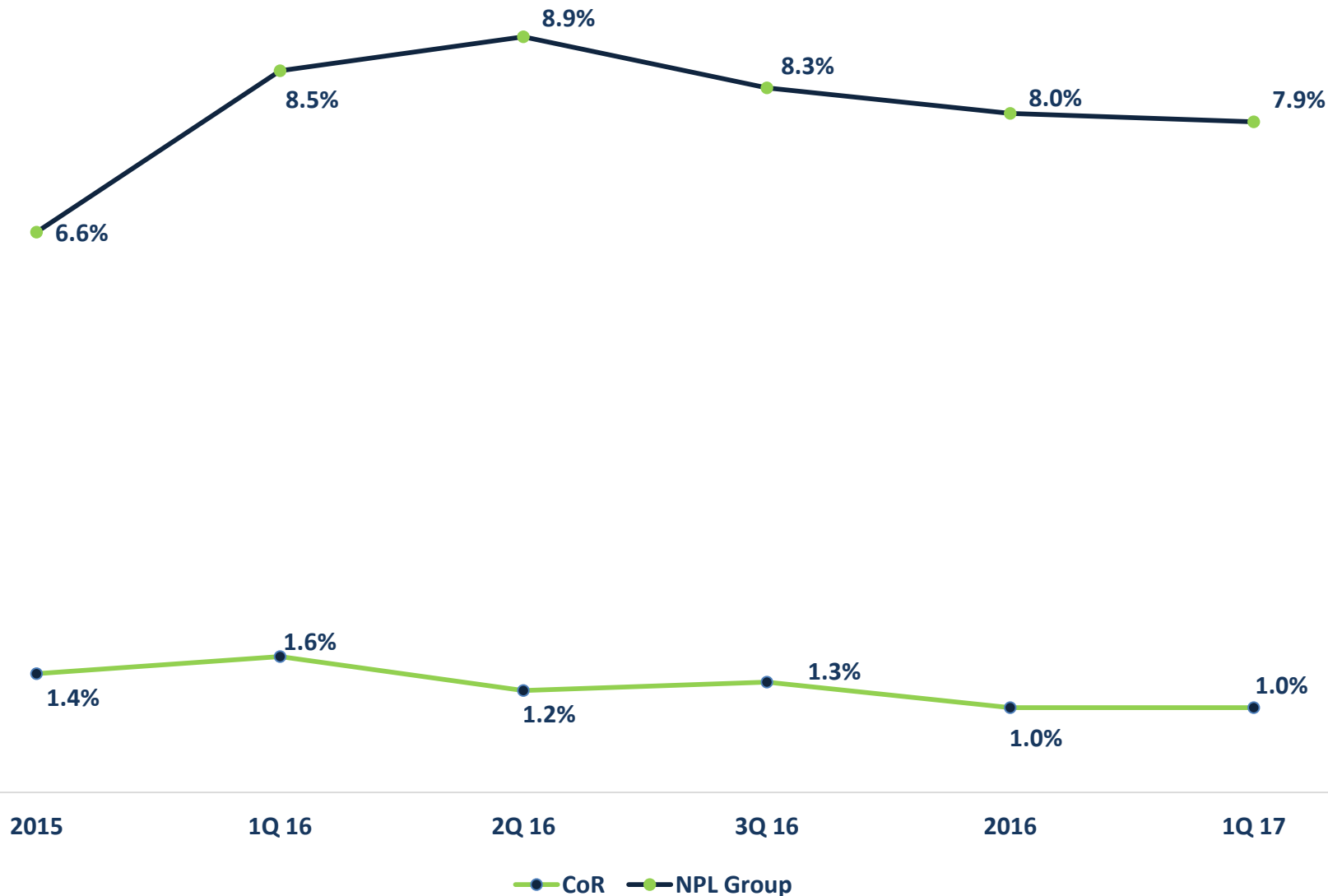


■ Net Loans and advances
 ■ Investment in Govt. Securities
 ■ Cash and Balances with Central Bank and other Financial Institutions
 ■ Other Assets

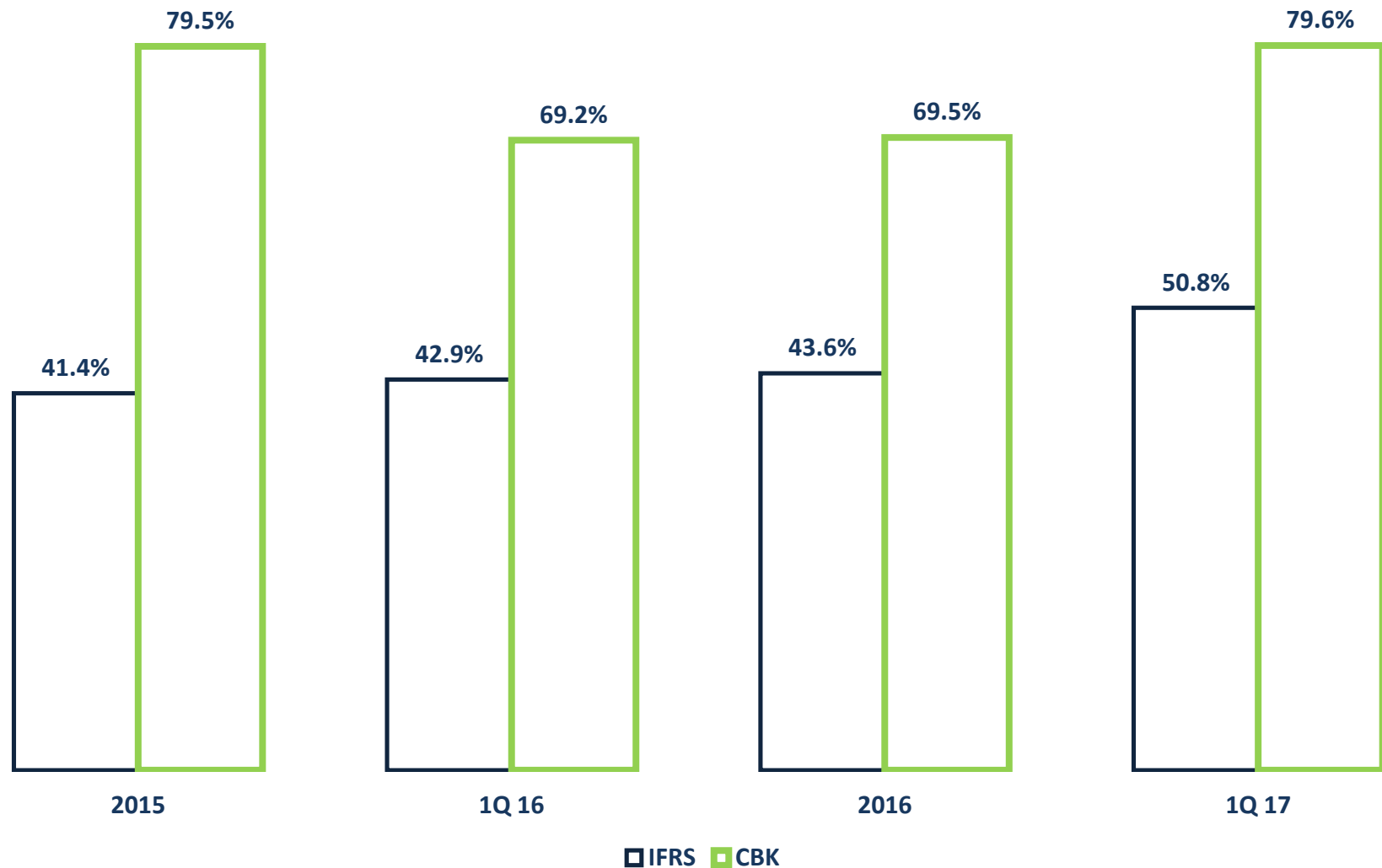
Evolution and Distribution of the Loan Book



Marginal Improvement in Asset Quality

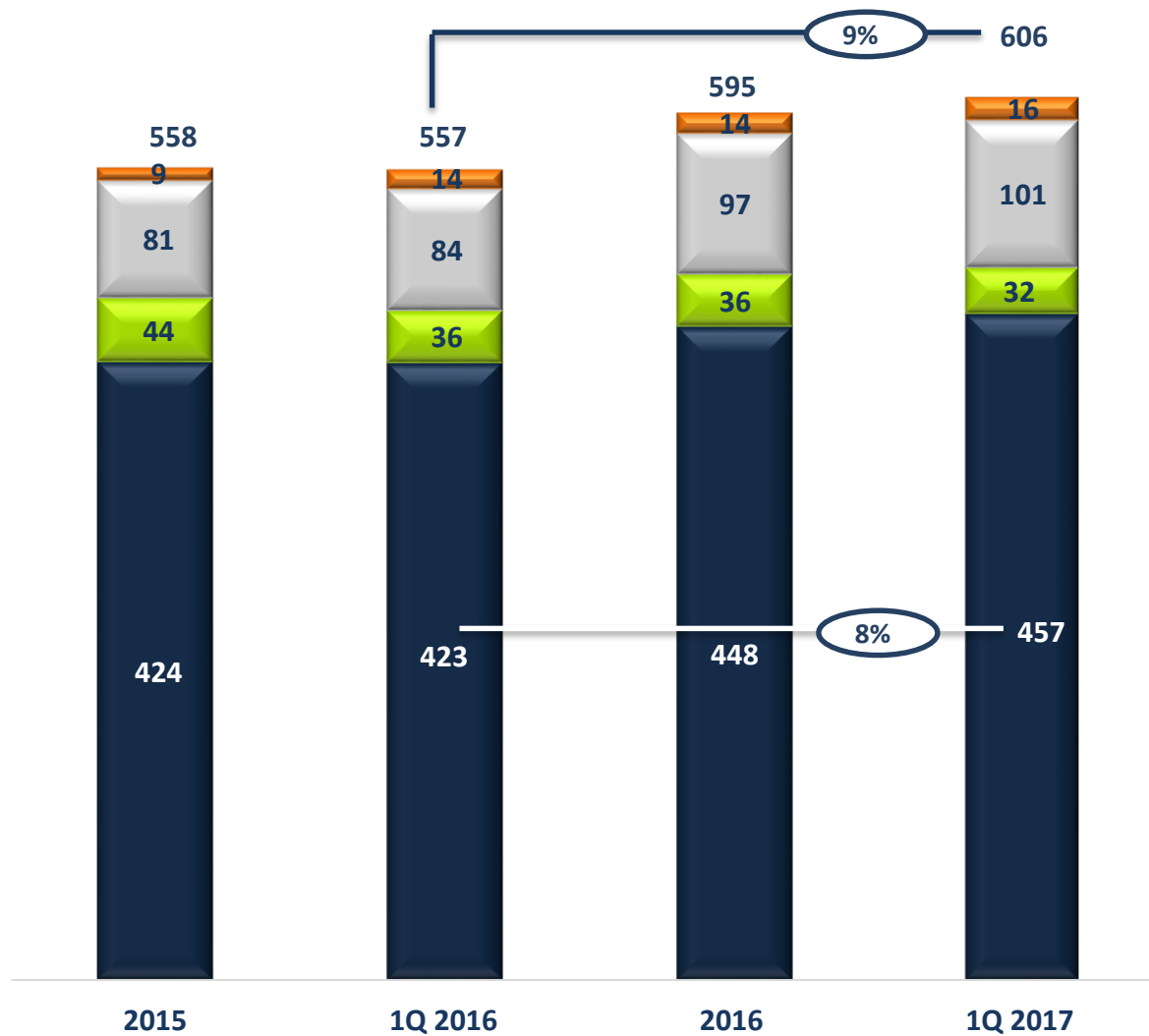


Stable Coverage Position

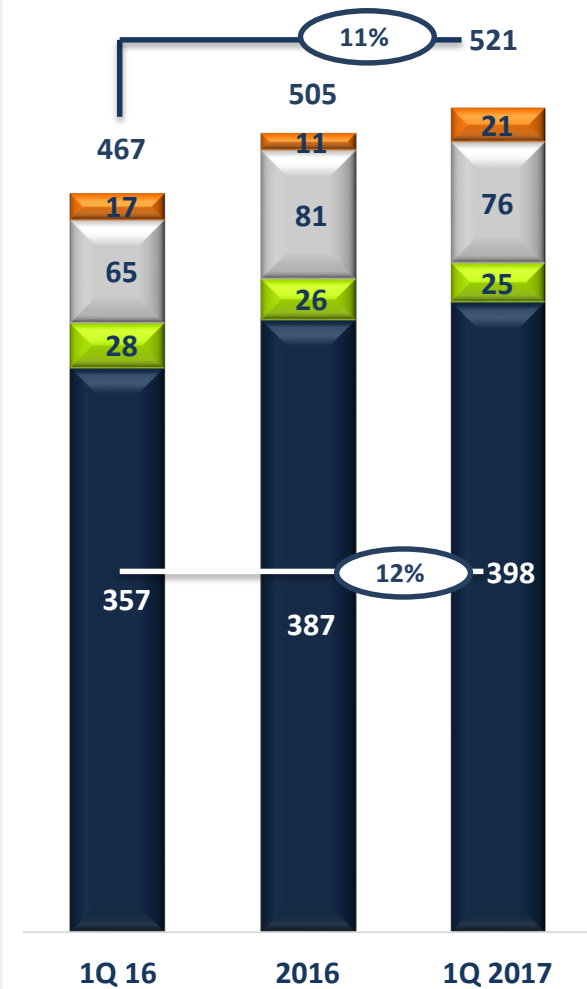


75% of Funding from Deposits

KShs B

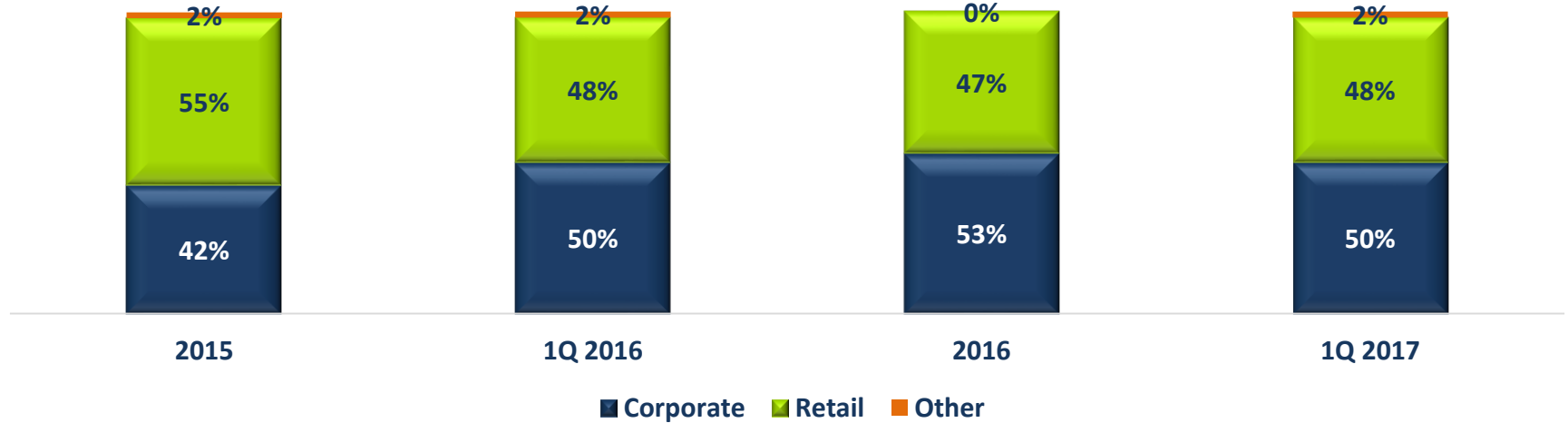


Kenya Funding Portfolio



Deposits Bal. to banks and debt Equity Other Liabilities

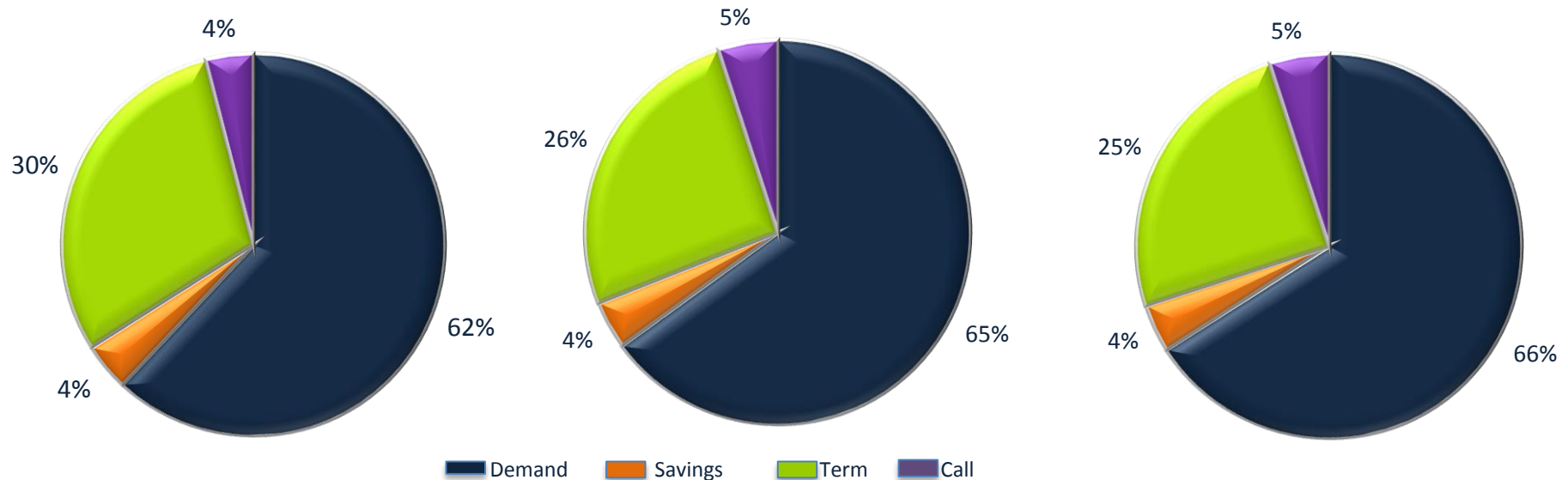
70% Deposits from CASA



Deposits by Type 1Q16

Deposits by Type FY16

Deposits by Type 1Q17

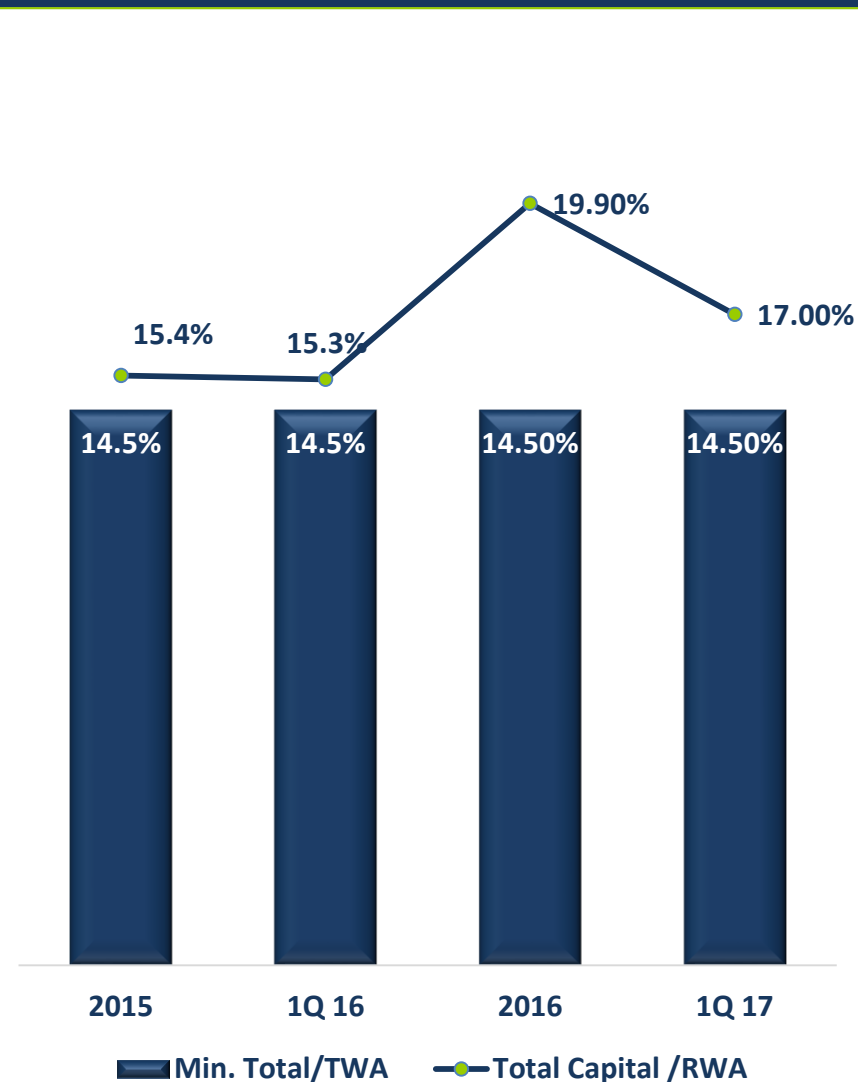


Adequate Headroom on Capital Ratios

Core Capital to RWA



Total Capital to RWA



Stable Balance Sheet supported by 14% growth in Loans

KShs Millions	KCB BANK KENYA			KCB GROUP		
	Actual 1Q-16	Actual 1Q-17	Y-O-Y Change	Actual 1Q-16	Actual 1Q-17	Y-O-Y Change
Cash	7,548	6,182	(18%)	11,691	9,247	(21%)
Balances with Central Bank	29,414	22,621	(23%)	29,414	22,621	(23%)
Balances with other institutions	1,042	6,155	491%	36,081	38,859	8%
Investments in Government & Other securities	89,633	93,241	4%	105,571	105,974	0%
Net loans and advances	313,054	362,922	16%	345,943	395,491	14%
Fixed assets	8,286	9,140	10%	10,756	12,645	18%
Other assets	18,063	20,274	12%	17,345	20,918	21%
Total Assets	467,040	520,536	11%	556,801	605,755	9%
Customer Deposits	356,568	397,873	12%	423,433	456,815	8%
Balances due to other banks	11,278	4,825	-57%	16,288	8,359	(49%)
Other liabilities	16,841	21,456	27%	13,516	15,769	17%
Long-term debt	17,116	19,883	16%	19,604	23,596	20%
Total Liabilities	401,803	444,037	11%	472,841	504,539	7%
Shareholders' Equity	65,238	76,499	17%	83,960	101,216	21%
Total Liabilities and Equity	467,040	520,536	11%	556,801	605,755	9%

Level PBT performance

KShs Millions	KCB BANK KENYA			KCB GROUP			KCB Group (Restated)	
	Actual 1Q-16	Actual 1Q-17	Y-O-Y Change	Actual 1Q-16	Actual 1Q-17	Y-O-Y Change	Actual 1Q-16 (Restated)	Y-O-Y Change (Restated)
Interest Income	14,390	12,415	-14%	16,040	14,114	(12%)	16,270	(13%)
Interest Expense	4,547	2,943	-35%	5,181	3,769	(27%)	5,188	(27%)
Net interest income	9,843	9,471	-4%	10,859	10,345	(5%)	11,081	(7%)
Foreign exchange income	447	589	32%	747	1,285	72%	1,918	(33%)
Net fees and commissions	2,160	2,468	14%	3,026	3,455	14%	3,336	4%
Other income	737	719	-2%	853	824	(3%)	900	(8%)
Total operating income	13,187	13,247	0%	15,484	15,909	3%	17,235	(8%)
Total operating expenses	5,955	6,239	5%	7,501	7,849	5%	8,386	(6%)
Net provisions for bad debts	1,240	774	-38%	1,369	958	(30%)	1,460	(34%)
Profit Before Loss on Monetary Position	5,992	6,234	4%	6,614	7,101	7%	7,389	(4%)
Loss on Monetary Position	-	-	-	-	509		994	(49%)
Profit before tax	5,992	6,234	4%	6,614	6,592	0%	6,395	3%
Tax	1,797	1,746	-3%	1,984	2,050	3%	1,984	-
Profit after tax	4,194	4,489	7%	4,630	4,542	(2%)	4,411	3%

Overview of Key Financial Ratios

1Q16	2Q16	FY16		KENYA	GROUP
22.4%	24.4%	22.2%	Return on Average Equity	22.8%	20.3%
48.4%	47.9%	47.6%	Cost to Income	47.1%	52.5%
8.5%	8.9%	8.0%	Gross NPL to Gross Loans	8.0%	7.9%
69.1%	71.1%	69.5%	NPL Coverage	88.7%	79.6%
23.3%	19.5%	23.8%	Debt to Equity	26.0%	23.3%
26.0%	31.6%	32.3%	Non funded income to total income	28.5%	35.0%
4.5%	3.9%	3.3%	Cost of funds	2.8%	3.1%
9.4%	9.7%	9.6%	Net Interest Margin	8.4%	7.9%
1.6%	1.4%	1.0%	Cost of risk	0.9%	1.0%
84.4%	80.2%	86.1%	Loan to Deposit Ratio	91.2%	86.6%
16%	8%	11%	Growth of Net Loans and Advances	16%	14%
7%	-2%	6%	Growth of Customer Deposits	12%	8%



Thank you.

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